

get a better deal.

Insurance agents usually make their money by commission, so they're understandably eager to sell you something, but they do have some flexibility in pricing a premium in order to get your business. If the first agent you talk to is less than accommodating (impatient or not forthcoming with answers), don't be shy about finding another one. (Ask relatives and friends for recommendations.) And don't feel obliged to buy from an agent just because he or she did some research for you. That's the agent's job. *Your* job is to go with whoever gives you the best deal.

- **Contact insurance companies that sell directly to consumers.** Some companies don't sell through agents. These firms often charge less because they don't have to pay the salaries of a sales force. The service reps who answer the phones at these companies may not be able to advise you on what to buy, but they can answer basic questions. If you're confident about being able to choose a policy (and you should be after you read this chapter), then get a price quote from such a firm, typically known as a **low-load** company. For names and numbers, see the sections on specific types of insurance later in this chapter.
- **Get the highest deductible you can afford.** With certain types of coverage—health insurance, home insurance, and some auto insurance—you must pay a certain amount of the costs out of your own pocket before the insurance pays for anything. This fixed amount is known as a **deductible**. For example, on a health insurance policy with a \$500 annual deductible, you have to pay for the first \$500 worth of medical bills you incur each year with your own money. Expenses beyond \$500 will be paid, at least in part, by the insurance company.
One way to get a lower premium (there's that word again) is to get a policy with a higher deductible. Say you're a 30-year-old single L.A. resident purchasing a health insurance policy from Blue Shield of California. If you opt for a \$500